



PETER LYNCH

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The *Wall Street Journal* named Peter Lynch one of the greatest investors of all time for his remarkable performance as manager of Fidelity's renowned Magellan Fund. When Lynch took it over in 1977, the fund was comprised of some 45 stocks worth about \$20 million. By the time he retired from active duty at Fidelity in 1990 to spend more time with his family, the fund had diversified into more than 1,200 businesses and was worth almost \$13 billion. By visiting more than 500 companies a year and talking to dozens of executives each week, Lynch brought back an astounding return. An investor who plunked down \$10,000 with him in 1977 would have walked away with \$280,000 in 1990. Not all investments were based on meticulous research; for example, he bought into Taco Bell after trying one of their burritos on a road trip.

Lynch, who grew up in a Boston suburb, first started learning about investing as an 11-year-old caddy at the local country club, where he listened to the big shot executive members talk money. The job was thrust upon him; his father died when he was 10 and he had to help with the family finances. He went to Boston College on a caddy scholarship, then to Wharton for an MBA, before being hired by Fidelity in 1969. He started as a research analyst, specializing in the metals industry. In 1974 he was promoted to research director, and three years later he was picked to run Magellan.

His investment philosophy is simple: "Go for a business that any idiot can run—because sooner or later any idiot probably is going to run it." In the 1980s Lynch disdained the merger mania that swept the country, preferring to invest in more pedestrian opportunities like a chain of funeral homes—something everyone would eventually need. Another favorite maxim: "Know what you own and be able to explain it to a twelve-year-old in a minute." To find those stocks, he advises looking close to home, where you come into contact with companies everyday. In *Stalking the Tenbagger*, he illustrates how one of those backyard companies might just turn into the exalted tenbagger, a company whose stock has the potential to increase tenfold.